

Member ID: _____

Time: _____

Rank: _____



BANKING AND FINANCE

(145)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (3 points each) _____ (30 points)

Problem 1. Loan Repayment Schedule (1 point each) _____ (39 points)

Problem 2. Bankruptcy Claims (3 points each) _____ (24 points)

TOTAL POINTS _____ ***(143 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
2. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the appropriate division (Secondary or Post-Secondary) Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You will have 60 minutes to complete your work.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice: Identify the letter of the choice that *best* completes the statement or answers the question.

1. An example of a central bank is _____.
 - A. Bank of America.
 - B. Wells Fargo.
 - C. a credit union.
 - D. Federal Reserve Bank of New York.
2. Which act established the Consumer Financial Protection Board?
 - A. Dodd-Frank Act
 - B. Fair Credit Reporting Act
 - C. Credit Repair Organization Act
 - D. Truth in Lending Act
3. Revenue for a bank is referred to as _____.
 - A. net profit
 - B. the reserve requirement.
 - C. the spread
 - D. gross profit
4. A bank's assets are _____.
 - A. checking accounts.
 - B. savings accounts.
 - C. overdraft fees.
 - D. loans.
5. Which man in history was in favor of a centralized banking system?
 - A. Thomas Jefferson
 - B. Alexander Hamilton
 - C. Andrew Jackson
 - D. Theodore Roosevelt
6. The buying and selling of securities by the Fed is called _____.
 - A. the business cycle.
 - B. the balance of payments.
 - C. open market operations.
 - D. inflation operations.
7. The M1 money supply includes _____.
 - A. short-term investments.
 - B. all liquid money plus short-term investments.
 - C. time deposits.
 - D. currency and checking accounts.

8. What is the difference between the APR and the APY?
 - A. The APY represents the effect of compounding.
 - B. The APR represents the effect of compounding.
 - C. The APY is the nominal rate on which interest is calculated per year.
 - D. The APR is mandated to be disclosed by banks per the Truth in Lending Act.
9. A credit card _____.
 - A. allows consumers to pay all or part of their bill each month.
 - B. must be paid in full by the due date on the bill.
 - C. allows immediate transfer of payment from a checking account.
 - D. cannot be used at an ATM.
10. The amount of interest paid on a loan _____.
 - A. stays the same with each payment.
 - B. increases with each payment.
 - C. decreases with each payment.
 - D. doubles with each payment.
11. If you have a current balance of \$3,250 on your credit card and a credit limit of \$5,000, what is your credit utilization rate? The current APR is 13.3%.
 - A. 4.32%
 - B. 43.2%
 - C. 6.5%
 - D. 65%
12. Monthly mortgage payments include _____.
 - A. principal and interest
 - B. principal, interest, and taxes
 - C. principal, interest, and insurance
 - D. principal, interest, taxes, and insurance
13. Which statement about mortgages is false?
 - A. All mortgages require PMI.
 - B. PMI is typically required for borrowers whose down payment is less than 20%.
 - C. The lender collects the insurance premium as part of the monthly payment.
 - D. PMI can be eliminated once the principal reaches 20% of the original loan balance.
14. A CEO or CFO who certifies false financial reports could be imprisoned due to the _____.
 - A. Dodd-Frank Act.
 - B. Sarbanes-Oxley Act.
 - C. Patriot Act.
 - D. Glass-Steagall Act.

15. What are the two main items on a W-4 that determine taxes withheld?
 - A. Taxable income and filing status
 - B. Taxable income and dependents
 - C. Filing status and dependents
 - D. Taxable income and interest income
16. Which of these is not a way the Federal Reserve controls the money supply?
 - A. Adjusting reserve requirements
 - B. Performing open market operations
 - C. Adjusting the prime rate
 - D. Adjusting the discount rate
17. What is the largest revenue generator for a bank?
 - A. Loan interest
 - B. Savings account interest
 - C. Overdraft fees
 - D. Checking account interest
18. Which of these is not a bond rating agency?
 - A. Moody's
 - B. Fitch
 - C. Standard & Poor's
 - D. Transunion
19. The transactions that occur when banks make or receive deposits from each other or from the Fed are called _____.
 - A. direct deposit.
 - B. interbank transactions.
 - C. check 21.
 - D. open market operations.
20. The phenomenon that creates new deposits from lending is called the _____.
 - A. Fractional reserve system
 - B. Aggregate measures
 - C. Multiplier effect
 - D. Excess reserves
21. An example of a non-depository intermediary would be a(n) _____.
 - A. credit union.
 - B. wholesale bank.
 - C. insurance company.
 - D. savings and loan association .

22. A FICO score can be calculated _____.
A. after you have at least 1 credit account open for 3 months.
B. after you have at least 1 credit account open for 6 months.
C. after you have at least 2 credit accounts open for 3 months.
D. after you have at least 2 credit accounts open for 6 months.
23. An example of closed-end credit is a(n) _____.
A. American Express credit card
B. Visa credit card
C. automobile loan
D. charge card
24. Credit bureaus gather information from _____.
A. subscribers
B. Better Business Bureau
C. Internal Revenue Service
D. consumers of credit
25. When amortizing a loan, the amount of interest _____.
A. increases each month.
B. decreases each month.
C. stays the same.
D. not enough information to determine.

Short Answer (30 total points)

1. If you borrow \$350 for two weeks and pay a loan fee of \$50, the annual percentage rate would be:

APR: _____

2. Calculate how much of the minimum payment goes toward reducing the principal on a credit card with a 2% minimum payment policy, a \$4,000 balance, and an 18% APR.

Reduction of principal: _____

3. Calculate the interest earned on a three-year CD with an initial value of \$12,500 earning 5.5%, compounded annually. What will be each year's compounded interest and the final balance?

Year 1: a. _____

Year 2: b. _____

Year 3: c. _____

Balance: d. _____

4. Calculate the total amount of money created from a deposit of \$10,000 as it moves through three further cycles of deposits. Assume a reserve rate of 8%.

Deposit 1: a. _____

Deposit 2: b. _____

Deposit 3: c. _____

Total Deposits: d. _____

Problem 1. Loan Repayment Schedule (39 total points)

Complete the schedule for a 1-year installment loan at an 18% APR. The monthly payments are \$45.84, and the initial loan is \$500.

Loan Repayment Schedule				
Month	Monthly Payment	Interest Payment	Applied to Principal	Balance
1	\$45.84			
2	\$45.84			
3	\$45.84			
4	\$45.84			
5	\$45.84			
6	\$45.84			
7	\$45.84			
8	\$45.84			
9	\$45.84			
10	\$45.84			
11	\$45.84			
12	\$45.84			
Totals				

Problem 2. Bankruptcy Claims (24 points)

A business has gone bankrupt. The money that is left after secured creditors have been paid is paid to all other creditors in proportion to their claims. In the first table, calculate what percent of the unsecured creditors' claims can be paid. In the second table, calculate how many cents on the dollar can be paid to the unsecured creditors.

	Total Creditor Claims	Cash Available for Creditors	Percentage of Claims Paid
1	\$68,000	\$27,200	
2	37,200	11,160	
3	146,700	51,345	
4	288,000	187,200	

	Total Creditor Claims	Cash Available for Creditors	Cents on the Dollar Paid
5	\$83,600	\$53,504	
6	71,760	25,116	
7	196,000	82,320	
8	54,000	8,688	